Module 2: Individual Insurance Products

Learning Objectives

After studying this lesson, you will be able to:

- Describe the benefits provided under major medical and supplemental medical expense insurance policies.
- Explain common cost participation methods.
- Explain how managed care plans attempt to manage members' access to medical care and the costs of that care.
- Describe the basic characteristics of consumer-driven health plans.
- Describe the benefit triggers for long-term care insurance policies.
- Distinguish among the various definitions of total disability and explain the purpose of elimination periods in disability income policies.
- Describe the government-sponsored disability income plans available in the United States.

Major Medical and Supplemental Medical Insurance

Learning Objective

Describe the benefits provided under major medical and supplemental medical expense insurance policies.

Explain common cost participation methods.

Forms of Health Insurance

Like life insurance and annuities, most health insurance products are available on a group or individual basis.

Group Health Insurance

A group health insurance policy would insure the health of a specific group of people, such as a group of employees.

Individual Health Insurance Policy

An individual would purchase an individual health insurance policy that would insure the health of a named individual. Some individual policies also insure the named person's immediate family or a second insured person.

Health insurance protects against the risk of financial loss from illness or injury and comes in three forms:

- **Medical expense coverage** provides benefits to pay for treatment of illnesses and injuries
- **Long-term care (LTC) coverage** provides benefits for medical and other services to insureds who need constant care at home or in a qualified facility
- **Disability income coverage** provides income replacement benefits to an insured who is unable to work because of illness or injury

We'll look at medical expense coverage first.

Medical Expense Coverage

Many people obtain medical expense coverage through their employer, if offered, under a group insurance policy. For the self-employed and others who cannot get coverage through work, many types of individual coverages are available.

Major Medical Coverage

The most common type of medical expense insurance—**major medical coverage**—generally pays benefits for

- Basic hospital, surgical, and physicians' expenses
- Additional services related to illness or injury
- Prescription drugs
- Some preventive care

People insured under major medical policies typically receive comprehensive health care in exchange for a fixed, periodic—usually monthly—premium. This premium covers the cost of most health care services.

What isn't covered?

Common Medical Expense Exclusions

- Cosmetic surgery (other than required corrective surgery)

- Illness or injury during military service or acts of war
- Intentionally self-inflicted injuries
- Routine dental treatments, eye exams, and corrective lenses

Cost Participation Methods

Medical expense policies typically include features that require the insured to share in the costs of some types of medical care.

Forms of cost sharing:

- **Deductible**—a flat dollar amount of eligible expenses that the insured pays before the insurance pays benefits.

Deductible example

Most major medical policies include a calendar-year deductible. For example, a policy with a $500 calendar-year deductible requires that the insured incur $500 of covered medical expenses in one calendar year before the insurance policy will begin payments.

- **Coinsurance**—a percentage of the allowable expenses remaining after the insured has paid the deductible that must be paid by the insured.

Coinsurance example

Major medical policies often include a 20 to 30 percent coinsurance requirement. For example, a policy with a $500 annual deductible and a 20% coinsurance requirement would require that the insured pay 20% of all charges above $500.

Most major medical policies limit the total amount of money the insured must pay by including a **maximum out-of-pocket provision**, also known as a *stop-loss provision*. For example, a policy with a $5,000 out-of-pocket maximum will pay 100% of allowable medical expenses after the insured has paid $5,000 to satisfy deductible and coinsurance requirements.

The Affordable Care Act

Features of health insurance plans under the **Affordable Care Act (ACA)**

- Offered by private insurance companies
- Guaranteed issue – Health insurance issuers must enroll any applicant, regardless of age, gender, or health status.
- Guaranteed renewal – Health insurance issuers must offer to continue coverage at the option of the policyholder, as long as premiums are paid.
- Health insurance premium subsidies – Government subsidies are available to people who qualify based on their income levels.
- Coverage must be provided for children until age 26
- Coverage must be provided for preventive care with no copayment or other out-of-pocket expense.

Coverage must be provided for at least the following ten essential services:

- Ambulatory patient services, also known as outpatient care
- Emergency services
- Hospitalization
- Maternity and newborn care

- Mental health and substance use disorder services, including behavioral health treatment
- Prescription drugs
- Rehabilitative and habilitative services and devices—habilitative services are health care services that help you keep, learn, or improve skills and functioning for daily living
- Laboratory services
- Preventive and wellness services and chronic disease management
- Pediatric services, including oral and vision care

Marissa Barbosa bought an individual medical expense policy in January. The policy includes a $500 calendar-year deductible and a 20% coinsurance requirement. Marissa incurred $800 in allowable medical expenses in May. How much of this amount will she have to pay?

$500

$560

$800

Now suppose Marissa incurs an additional $400 in allowable medical expenses in June. How much of this amount will Marissa have to pay?

$80

$100

$400

Supplemental Medical Expense Coverage

For an additional fee, insurers offer coverage for many excluded services through supplemental medical expense policies. Click or touch the tabs below to learn more about these supplemental policies.

Dental Expense Coverage

Vision Care Coverage

Dread Disease (DD) Coverage

What about supplemental coverages in other countries? In countries in which medical care is provided through government programs, insurers sell supplemental coverages for services not covered by government medical insurance or for care in private hospitals.

Select the medical expenses that are typically **excluded** under a major medical insurance policy. (Choose all that apply.)

Intentionally self-inflicted injuries

Basic hospital expenses

Basic surgical expenses

Elective cosmetic surgery

Services related to illness or injury

Physicians' expenses

Some preventive care

Routine eye exams and corrective lenses

Illness or injury incurred during military service or acts of war

Routine dental treatments

Select the major medical policy feature based on its correct description.

A flat dollar amount of eligible expenses that the insured pays before the insurance begins paying benefits

Coinsurance

Deductible

Maximum out-of-pocket provision

A percentage of the allowable expenses in excess of the amount already paid by the insured

Coinsurance

Deductible

Maximum out-of-pocket provision

A limit on the amount the insured must pay out of pocket per year

Coinsurance

Deductible

Maximum out-of-pocket provision

The type of supplemental coverage that pays for medical expenses incurred by the insured who has contracted a specified disease is dread disease (DD) coverage.

True

False

Managed Care

Learning Objective

Explain how managed care plans attempt to manage members' access to medical care and the costs of that care.

Managed Care Plans

Insurers emphasize prevention, early intervention, and cost-savings by structuring medical insurance plans so that physicians and insureds are in partnership with the insurer in coordinating the management and delivery of medical care. Managed care features include

- Contracting with **provider networks** of doctors and health care facilities to deliver medical services for negotiated fees
- Requiring or financially motivating insureds to obtain care from network providers
- Using **primary care providers (PCPs)** to coordinate insured's' medical care and access to specialists

Medical insurance **managed care plans** can be classified according to how medical care is managed within a plan. Typically, the more freedom

insureds are allowed in choosing providers, the higher the cost of the plan. Three primary types of managed care plans are:

- Health maintenance organizations (HMOs)
- Preferred provider organizations (PPOs)
- Point of service (POS) plans

Let's compare these types of plans

Types of Plans

	HMO	PPO	POS
Primary care provider (PCP)	Required	Not required	Usually required
Referrals to other providers	Required	Not required	Usually required
Use of in-network providers	Required	Higher benefit levels for in-network providers	Higher benefit levels for in-network providers
Use of out-of-network providers	No benefits are paid	Lower benefit levels for going outside the network	Lower benefit levels for going outside the network

Copayments

Insureds under managed care plans generally must pay a network provider a specified, fixed amount, known as a **copayment**, each time the plan member receives services from the provider. For example, insureds may be required to pay $20 for each doctor visit and for each prescription.

HMO members typically are only responsible for copayments. Other managed care plans typically have a copayment for use of in-network providers, and deductible and coinsurance requirements for out-of-network providers.

Managed care plans place a greater emphasis on preventive care than do traditional medical expense plans. Managed care plans usually cover prenatal and well-baby care, routine physical exams, screening tests, and childhood immunizations.

In addition, managed care plans cover many services that traditional medical expense plans may not, such as:

- Wellness programs (smoking cessation or weight or stress reduction)
- Patient education programs that help plan members make informed decisions about their health care

In managed care plans, physicians and insureds are in partnership with the insurer in coordinating the management and delivery of medical care.

True

False

Typically, the more freedom insureds in a managed care plan are allowed in choosing providers, the higher the cost of the plan.

True

False

Consumer-Driven Health Care

Learning Objective

Describe the basic characteristics of consumer-driven health plans.

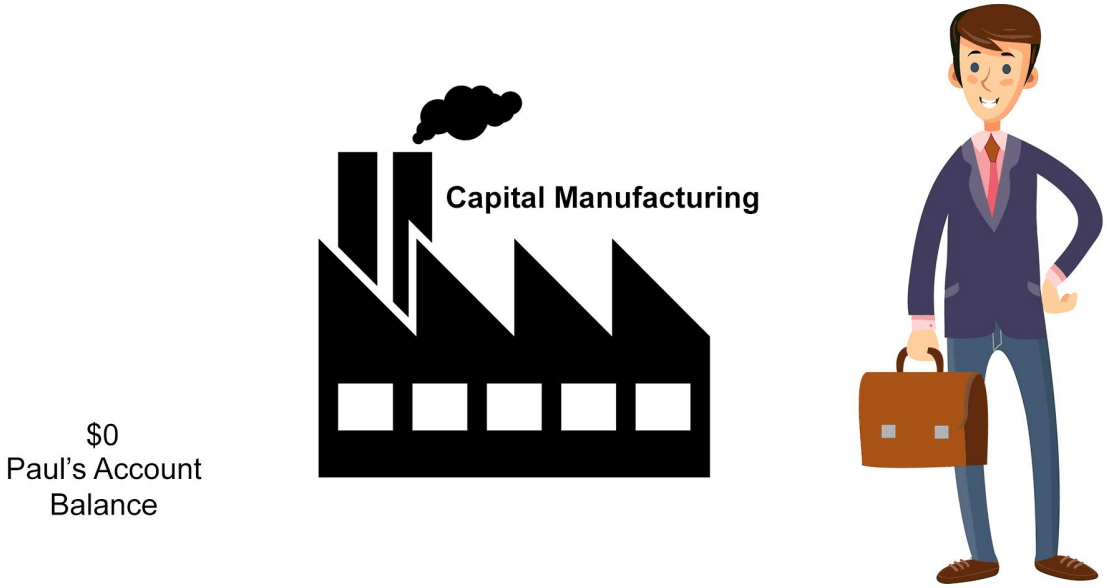
Consumer-Driven Health Plans

Another innovation in providing medical insurance is the consumer-driven health plan.

A consumer-driven health plan (CDHP) uses a health savings account (HSA) for the payment of routine health care expenses, while a high-deductible health plan (HDHP) protects the insured from catastrophic medical expenses.

Some CDHPs use a health reimbursement arrangement (HRA), usually with an HDHP.

Anatomy of a CDHP



Paul Long is a member of a consumer-driven health plan (CDHP) funded by his employer, Capital Manufacturing. (Click or touch the arrows to the right.)

Recall that Paul Long is a member of a consumer-driven health plan (CDHP) funded by a health savings account (HSA) established by his employer, Capital Manufacturing. Once the funds in Paul's HSA are gone, Paul cannot receive any additional medical care.

True

False

Long-Term Care Insurance

Learning Objective

Describe the benefit triggers for long-term care insurance policies.

Long-Term Care (LTC) Coverage

Medical expense coverage is only part of the health insurance picture…another part is long-term care (LTC) coverage, which provides benefits for medical and other services to insureds who need care for an extended period in their own homes or in a qualified facility.

Because the costs of long-term care can deplete savings quickly, many people turn to long-term care insurance to provide that care.

Benefit Triggers

A long-term care insurance policy requirement specifying the conditions that establish an insured's eligibility to receive long-term care benefits.

Two common benefit triggers are:

- An inability to complete activities of daily living (ADLs)
- Cognitive impairment

The **activities of daily living (ADLs)** are the activities of eating, bathing, dressing, continence, toileting, and transferring into and out of a bed, chair, or wheelchair.

A licensed health care practitioner must certify that the insured requires assistance with at least the specified number of ADLs.

Cognitive impairment is a reduction in a person's ability to think, reason, or remember. Alzheimer's disease and dementia are common types of cognitive impairment.

Cognitive impairment severe enough to require regular supervision or assistance to protect the insured and others around the insured triggers LTC benefits. LTC policies generally treat severe cognitive impairments as a benefit trigger even if the insured can perform all of the ADLs without assistance.

See as this industry expert explains how the benefit triggers for long-term care coverage have been changing to include more than just the activities of daily living.

Qualified Facilities

Long-term care is provided in an insured's home or in a qualified facility. Qualified facilities may include

- Nursing homes
- Rehabilitation facilities
- Inpatient behavioral health facilities—a behavioral health facility is involved in the care and treatment of persons with mental disorders and addiction disorders
- Hospices—a hospice focuses on making life comfortable for those confronting a terminal illness by providing medical care, managing pain, and provided emotional and spiritual support
- Assisted living facilities
- Adult daycare centers

Types of Care Covered

Care paid for by LTC coverage may include

1. Diagnostic services

2. Preventive services
3. Therapeutic services
4. Rehabilitative services
5. Maintenance services
6. Personal care services

Daily Benefit Amount

Long-term care insurance policies generally state a daily benefit amount, which is the maximum amount of benefits payable for each day of an insured's long-term care at a care facility or in the patient's home.

Daily benefit amounts typically range from $50 to $500. Many LTC policies provide a lower daily benefit amount for certain types of facilities.

<u>Example</u>

For example, an LTC policy may provide a daily benefit amount of $200 a day for care in a nursing home, $150 a day for care in an assisted living facility, and $100 a day for home care.

Monthly Benefit Amount

Some newer long-term care policies provide a monthly benefit amount instead of a daily benefit amount. Such policies allow the insured more flexibility in paying expenses. Let's look at a comparison of amounts paid under daily and monthly benefits amount policies.

Example

An insured incurs eligible expenses of $300 a day for five days, and expenses of $100 a day for the 25 remaining days in the month.

$150 Daily Benefit

For five days, $150 maximum paid = $750 benefits
For 25 days, $100 maximum paid = $2,500 benefits
Total benefits paid = $3,250

$5,000 Monthly Benefit

For five days, $300 maximum paid = $1,500 benefits
For 25 days, $100 maximum paid, = $2,500 paid
Total benefits paid = $4,000

Disability Income

Learning Objective

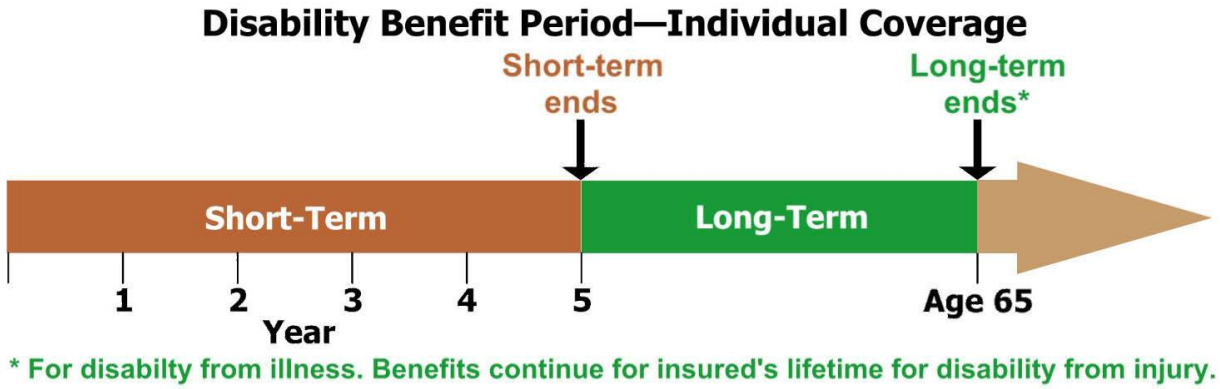
Distinguish among the various definitions of total disability and explain the purpose of elimination periods in disability income policies.

Describe the government-sponsored disability income plans available in the United States.

Disability Income Coverage

Disability Benefit Period

Disability income insurance is available to individuals and groups and provides short-term or long-term coverage, depending on the length of the benefit period—the time during which benefits are payable. The benefit periods for individual and group coverage differ. Click or touch the right arrow below to see how.



Definition of Total Disability

Disability income policies define total disability to determine whether an insured is eligible to receive disability income benefits.

Most policies use one of three definitions: (click or touch each one below)

"Current Usual" Definition—Used in Most Policies

"Own Previous Occupation" Definition

"Income Loss" Definition

Presumptive Disabilities

Some disability income policies classify certain conditions as **presumptive disabilities** that, if present, automatically cause the insured to be considered totally disabled. An insured with a presumptive disability receives the full income benefit amount provided under the policy, even if he resumes full-time employment in a former occupation.

Presumptive disabilities include

- Total and permanent blindness
- Loss of the use of any two limbs
- Loss of speech or hearing

Marissa suffered a disability that meets her policy's definition of total disability. Will she start receiving disability income benefits on the first day of her disability?

Yes

No

Elimination Period

Insurers specify an **elimination period** (*waiting period*) which is how long an insured must be disabled before disability income benefit payments begin. An elimination period reduces an insurer's cost to process and pay claims for conditions that last for a very short time.

After the elimination period passes, Marissa begins receiving disability income benefit payments. How will the amount of these payments compare to her pre-disability income?

Disability income benefits will be higher than her pre-disability earnings

Disability income benefits will be lower than her pre-disability earnings

Disability income benefits will be the same as her pre-disability earnings

If disability payments weren't lower than pre-disability income, a disabled person could earn as much while disabled as she could while working and would have no financial incentive to return to work.

So, insureds usually receive a percentage of their regular earnings, such as 60 or 70 percent, as disability income.

Supplemental Disability Benefits

A variety of supplemental benefits are available in connection with disability income policies:

- A **partial disability** benefit pays when an insured can't perform some regular job duties or can't work *full time.*

- A cost-of-living adjustment (COLA) benefit periodically increases benefit amounts to correspond with increases in the cost of living.

Government Sponsored Programs

A U.S. federal program that provides disability income benefit payments to qualified individuals.

- Supplemental Security Income (SSI): For people with limited incomes who are disabled, blind, or age 65 or older. The benefit is based on financial need.
- Social Security Disability Income (SSDI): For workers under age 65 who have paid Social Security tax. The benefit is based on Social Security taxes paid.

SSDI defines total disability as "The inability to work because of sickness or injury that has lasted, or is expected to last, for at least one year, or to lead to death."

What about government-sponsored disability programs in other countries?

Most countries offer a government disability (invalidity) program similar to the Social Security Disability Income (SSDI) in the United States. There may be variations in the definition of disability, the way the benefit is funded, and in how the amount of the benefit is determined. Some countries offer a supplemental benefit to disabled persons who require daily help.

Workers' compensation program

U.S. workers who are disabled as a result of work-related accidents or illnesses are covered under state-mandated workers' compensation programs.

Programs provide

- Medical expense benefits
- Wage replacement benefits

Mandatory employer contributions fund workers' compensation. Benefit amounts vary by state.

What about workers' compensation programs in other countries?

Most countries offer a workers' compensation (work injury) program that is similar to the program in the United States. Some countries have separate work injury programs; other countries' work injury programs are included as part of the general social security program.

David, an architect, purchased disability income insurance through his employer. Six months later, he lost the use of his right arm in an accident while on vacation. For two years, he was unable to work while he underwent physical therapy and learned to use a prosthesis. He then found a job teaching at a local college. His salary, which was $150,000 as an architect, dropped to $50,000 as a teacher.

If David's disability income policy has a two-year "current usual" definition of total disability, how long is he entitled to receive disability income benefits?

For two years

Until he is able to work as an architect again

Now suppose that David's policy includes an "own previous occupation" definition of total disability. How long is he entitled to receive disability income benefits?

For the first two years only

Until he is able to work as an architect again

Now suppose that David's policy includes an "income loss" definition of total disability. How long is he entitled to receive disability income benefits?

For the first two years only

Until he is able to work as an architect again

Until he is earning as much in his new career as he earned as an architect

Conclusion

Congratulations.

You have reached the end of our look at the various products that life and

health insurance companies offer. Let's review how some of these products helped people you've met along the way manage the personal risks they face.

Carter McIntosh is married with children and has an established career. He needed peace of mind that his wife Bridget and their children would be financially OK if something happened to Carter before Bridget goes back to

work. They purchased an inexpensive term life to get the protection they needed.

Ethan Franco wants lifetime insurance coverage and access to the cash value. He also wants more control over his insurance policy's earnings. Ethan purchased variable universal life. That gives him both death benefit and premium flexibility, and the family will be protected as long as the policy stays in force. He also adds to his family's savings through deciding how the policy's cash value is invested.

Carla Abernathy is closer to the end of her career than the beginning and wants to make sure she'll be comfortable in retirement. She likes to assume investment risk but wants to defer paying taxes on her earnings until she actually needs the money. Her income has gone up substantially, and she's maxed out her retirement options at work. She purchased a variable

annuity, which will give her the investment flexibility and the tax deferral she desires.

Marissa Barbosa is young, on her own, and self-sufficient. Both of her parents are gone, so she's got no one to fall back on if something happens to her and she can't work. A serious injury or illness could ruin her financially, through high medical bills, lost income, or both. Her two biggest needs were

medical insurance and disability insurance. With these two products, her finances are protected if something unfortunate happens.